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NTY, SUDDENLY FINDS ITSELF IN A SOUP WITH ALLEGATIONS OF SERIOUS VIOLATIONS BY ITS
 IG AND WHAT IT IS DOING TO FIX THE PROBLEM BY **ASHISH RUKHAIYAR**

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**○ TWO FUND MANAGERS—CHIEF TRADER & FUND
 MANAGER VIRESH JOSHI, AND ASSISTANT FUND
 MANAGER DEEPAK AGRAWAL—FIRED**

**○ AXIS AMC HAS HIRED ALVAREZ
 & MARSAL TO CONDUCT A PROBE
 AND FORENSIC AUDIT**

employees who were in charge of managing investor money.

The seventh-largest fund house of the country, with assets under management totalling more than ₹2.6 lakh crore, has already changed the fund manager for as many as seven schemes while sacking two fund managers—Viresh Joshi, who was also the Chief Trader, along with Assistant Fund Manager Deepak Agrawal. Joshi, who had been with Axis AMC since 2009, was terminated on May 18, while Agrawal, who had joined the fund house in 2015, was fired two days later.

Further, the fund house has hired global professional services major Alvarez & Marsal to conduct a proper probe and forensic audit in the matter. Axis AMC says the investigation was initiated in February this year.

While the first statement issued by the fund house

on May 6 stated, among other things, that “two fund managers have been suspended pending investigation of potential irregularities”, then came a slightly detailed statement from Chandresh Nigam, MD & CEO of Axis AMC. It was, indeed, needed as the fund house was facing all kinds of allegations, ranging from its fund managers being involved in front-running to taking kickbacks to owning fancy sports cars and properties.

None of the allegations could be independently verified amidst the ongoing probe, which is expected to be over soon. More importantly, the capital markets regulator, which has a history of acting tough against fund houses, is also looking into the matter. Way back in 2010, it had penalised a dealer of HDFC Mutual Fund after a detailed probe found that he—along with three other en-